

you can make great returns. What I believe in is compounding and not losing money. We were quite happy to be part of the bubble, but to do it in positions that were highly liquid, so that we could exit the market quickly if we wanted to. One of the biggest mistakes people made was to join in the bubble, but to do it in positions for which there was no exit. All markets look liquid during the bubble, but it's the liquidity after the bubble ends that matters. We did a lot of our trades through options—positions like buying calls in currencies with a carry because the positive carry paid for your option.

Carry currencies are currencies with higher interest rates. For example, if Australian short-term rates are 5 percent and U.S. rates are 1 percent, the Australian dollar would be a carry currency. U.S. investors could convert U.S. dollars into Australian dollars and earn an extra 4 percent interest income. The risk, of course, is that the Australian dollar could decline versus the U.S. dollar in the interim. Although this risk could be hedged by selling Australian dollars in the forward market, arbitrage will assure that the forward rates in the Australian dollar are discounted by the same amount as the interest rate differential. (Otherwise, there would be a risk-free trade in buying spot Australian dollars, investing the proceeds in Australian T-bills, and hedging with a short Australian dollar position in the forward market.) If the spot exchange rate is unchanged, over time, the forward rate will climb by the amount of this differential (i.e., the carry). The strike price on an at-the-money call on a forward contract in the Australian dollar will be lower than the current spot price by the same differential.³ If the spot price remains unchanged, the call will move in the money by this differential by expiration, serving as an offset to the premium paid for the option. Moreover, in a risk-seeking market, carry currencies will also tend to gain in the spot market as well.

Since the underlying currencies are also very liquid, I assume the reason you preferred buying calls to being long carry currencies was to avoid the gap risk in the event of a sudden market reversal?

Yes, by being long options, you can never have a major drawdown. If the bubble continues, you make nice returns; if it collapses, you just lose the premium. You are never short that horrible tail. But there were also structural reasons for preferring long option positions at the time. One of